

Case Study – Financial Statement Normalization

Question Appeared in: ModelOff 2013 Round 1

Allocated time: 25 minutes

25 Marks available in this Section

INTRODUCTION

Your team has been asked to analyze how ABC and XYZ would have performed if they had merged. As they prepare their accounts on a different basis, you will need to align ("normalize") their financial statements.

FINANCIAL STATEMENTS

The financial statements of the two companies have been provided in the accompanying Excel workbook.

NORMALIZATION CONVENTIONS AND ASSUMPTIONS

You have been informed by your Director that you should take the following conventions and assumptions into account when normalizing the accounts:

1. Non-Recurring and Non-Operating Expenses & Income should be excluded.
2. ABC's Research & Development Expenses are recurring in nature and are required to maintain ABC's revenue base.
3. Interest and Cost of Debt are incurred in the operation of the business.
4. ABC and XYZ do not do any business together.
5. When preparing the normalized accounts you should assume that 45% of tangible assets are leased through an operating lease. The remainder are owned and depreciated accordingly. In each year the total normalised tangible asset carrying value can be calculated using the following information:
 - I. Convention is to multiply financial statement operating lease expense by 8x to arrive at a notional balance sheet carrying value of the leased assets. The normalized accounts should follow the same basis.
 - II. Owned tangible assets are depreciated on a diminishing value basis over 10 years in both sets of financial accounts. The normalized accounts should follow the same basis.
6. Assume all annual revenue and expenditure amounts are incurred evenly over the 12 months.
7. Income Tax should be 40% of Earning Before Tax.



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QUESTIONS

Question 1

What is the notional carrying value of tangible leased and owned assets for ABC Company as at 1 January 2012? Select the closest option. [3 marks]

- a. \$100m
- b. \$102m
- c. \$104m
- d. \$106m

Question 2

What is the Normalized Net Income of ABC Company for the year ended 31 December 2010? Select the closest option. [5 marks]

- a. \$9m
- b. \$11m
- c. \$13m
- d. \$15m

Question 3

What is the Normalized Net Income of XYZ Company for the year ended 31 March 2012? Select the closest option. [7 marks]

- a. \$12m
- b. \$14m
- c. \$16m
- d. \$18m



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Question 4

What is the Normalized EBITDA of XYZ Company for the year ended 31 December 2010? Select the closest option. [5 marks]

- a. \$26m
- b. \$28m
- c. \$30m
- d. \$32m

Question 5

What is the consolidated Normalized EBITDA of ABC and XYZ for the year ended 31 December 2011? Select the closest option. [5 marks]

- a. \$43m
- b. \$45m
- c. \$47m
- d. \$49m